

Confidential Information Memorandum

Project Meridian

Meridian Practice Systems, Inc. | Dental Practice Management Software

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Prepared by Cardinal & Vale Advisors · FY25

Executive summary

Meridian is the system of record for mid-market dental groups, running scheduling, clinical charting, claims submission and patient billing in a single workflow. Practices sign multi-year agreements and renew on auto-renewal terms.

The business is a dental practice management software platform founded in 2009 and employing 61 people from its Columbus, Ohio headquarters. Approximately **91%** of total revenue is recurring subscription revenue; revenue grew **14%** year over year in FY25.

Switching costs are high: a practice migrating away must move eleven years of clinical records and re-credential every payer connection.

The business

Meridian is the system of record for mid-market dental groups, running scheduling, clinical charting, claims submission and patient billing in a single workflow. Practices sign multi-year agreements and renew on auto-renewal terms.

Revenue is contracted under written agreements with defined renewal terms. Implementation is delivered by the company's own team, and ongoing support is included in the subscription for all customer tiers.

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Market overview

The dental practice management software market is fragmented, with a long tail of regional providers and no single vendor holding a dominant national share. Buyers are operationally conservative and replacement cycles are measured in years rather than quarters.

Management believes the addressable market continues to expand as smaller operators retire spreadsheet-based and paper processes, and as regulatory reporting obligations increase the cost of manual compliance.

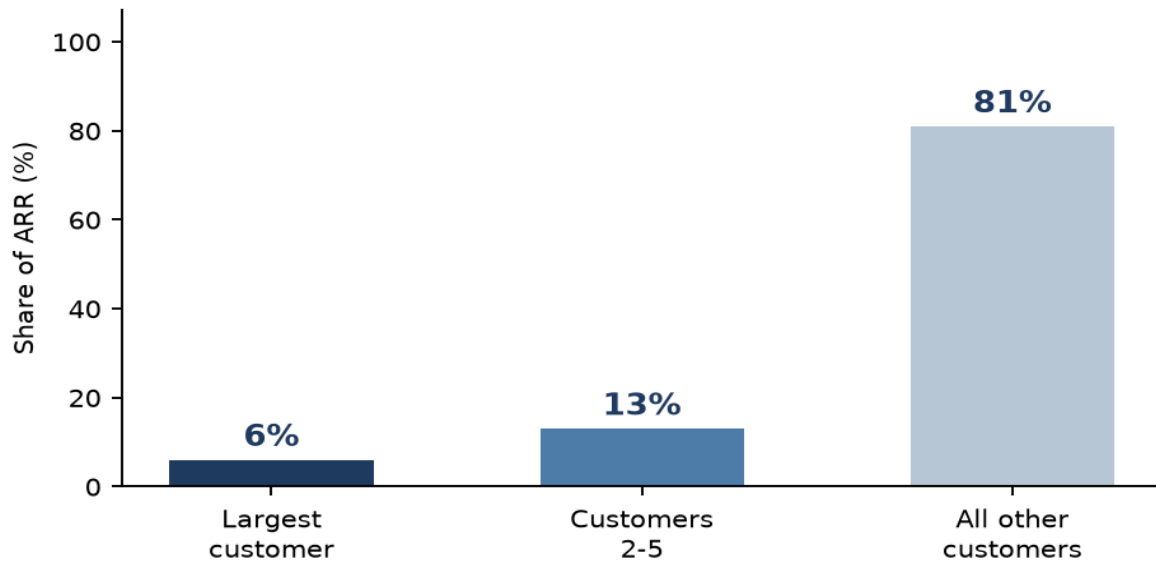
Product

The platform is delivered as a hosted application with role-based access, configurable workflow, and an audit trail across every transaction. Customers access the system through a browser; a mobile companion application covers field workflows.

The published integration surface covers accounting, payments and reporting endpoints, and a documented API supports customer-built extensions.

Customer base

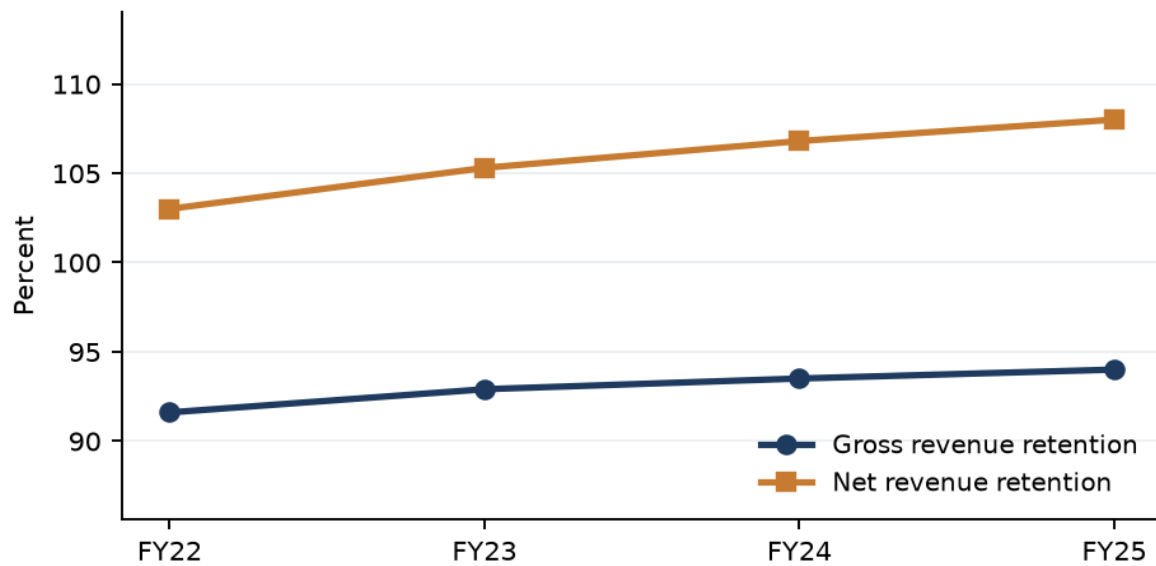
The customer base is contracted on written agreements with staggered renewal dates. The chart below sets out the distribution of annual recurring revenue across the customer base.



Distribution of annual recurring revenue by customer, FY25.

Retention

Retention has been measured on a consistent basis across the periods shown. Gross retention excludes expansion; net retention includes expansion, upsell and contraction within the existing base.



Gross and net revenue retention, FY22 to FY25.

Financial summary

The table below summarises FY25 performance. Figures are unaudited and prepared by management.

Metric	FY25	Basis
Annual Recurring Revenue	\$8.4M	Contracted, annualised
Monthly Recurring Revenue	\$700K	Exit month
Gross margin	78%	Excl. amortisation
EBITDA	\$1.9M	Adjusted

Adjusted EBITDA reflects add-backs for one-time transaction preparation costs and non-recurring legal expenses.

Management and organisation

The founder stepped back to a board seat in 2021. A professional CEO has run the company since, supported by a CTO and VP Revenue who each joined before 2018.

Total headcount is 61. The company operates from a single office in Columbus, Ohio with a distributed support function.

Technology

The platform was re-architected onto a managed cloud stack between 2019 and 2022. Deployment is continuous and the on-premise footprint was retired.

Security controls include role-based access, encryption in transit and at rest, and an annual third-party penetration test.

Growth initiatives

Management has identified three near-term initiatives: expanding the integration catalogue, introducing usage-based modules alongside the core subscription, and extending into adjacent operator segments already served informally today.

Transaction process

Indications of interest are requested by the date set out in the process letter. Management presentations will be scheduled with selected parties, and access to a virtual data room will follow execution of a confidentiality agreement.

Enquiries should be directed to the advisor named on the cover.